

RateGain Travel Technologies Ltd

NSE: RATEGAIN | Global B2B Travel & Hospitality SaaS | Face Value: Rs. 1

AI-powered travel intent data + distribution SaaS now the world's largest platform post-Sojern — poised for a margin re-rating cycle as integration synergies materialise.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 970	+17.6%
CMP: Rs. 824.55	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 824.55	Market Cap	Rs. 9,737 Cr
52-Week High	Rs. 842.95	52-Week Low	Rs. 417.60
Stock P/E (TTM)	44.1x	Forward P/E (FY27E)	~31x
P/B Ratio	5.79x	Book Value / Share	Rs. ~170
ROCE (FY25)	13.7%	ROE (FY25)	12.0%
EV / EBITDA (FY25)	~43x	Dividend Yield	Nil
Net Debt (FY26)	Rs. 880 Cr	D/E (FY26)	~0.7x
Promoter Hold.	48.17%	Promoter Pledge	Nil
FY25 Revenue	Rs. 1,077 Cr	FY26 Revenue	Rs. 1,824 Cr
FY25 Adj. EBITDA	Rs. 232 Cr	FY26 Adj. EBITDA	Rs. 358 Cr

Analyst: MPM Institutional Research | **Report Date:** 15 June 2026 | **Investment Horizon:** 12 months

One-line thesis: Sojern integration transforms RateGain into a \$1bn revenue platform; margin recovery from FY27 drives re-rating.

This report is for institutional/professional investor use only. All financial data sourced from RateGain investor relations, official press releases, TickerTape, and web searches as of 15 Jun 2026. Forward estimates are MPM Research projections and not guarantees of future performance.

SECTION 2 — INVESTMENT THESIS

- **Scale platform + Sojern = structural size change:** The \$250 Mn acquisition of Sojern (completed Nov 2025) doubled RateGain's revenue run-rate to Rs. 2,860 Cr annualised, added 13,000+ hotel clients, and created the world's largest travel intent data platform — a unique asset that no pure-play Indian SaaS peer possesses. Combined revenue visibility has grown to \$310 Mn+, with a clear internal \$1 billion ambition.
- **Margin recovery cycle beginning FY27:** FY26 reported EBITDA margins compressed to 18.5% (adj. 19.6%) due to Rs. 55 Cr one-time Sojern integration/deal costs. Management's adjusted EBITDA margin exited Q4FY26 at a record 23.5%. As deal costs roll off, cost synergies (\$15-20 Mn targeted) and cross-sell ramp FY27 margins toward 22-24%, driving >50% adj. PAT CAGR over FY26-FY28E.
- **AI monetisation as a new revenue lever:** RateGain's Demand.AI product won the CII National AI Award 2025. The company is embedding AI-powered dynamic pricing, demand forecasting, and traveler engagement into its SaaS stack. AI-enhanced products typically command 20-30% higher ARR per customer, providing a pricing power tailwind within the existing 13,000+ customer base.
- **Geographic diversification — APAC/MENA inflection:** APAC and Middle East revenue grew 23.2% YoY in H1FY26, with 100% YoY contract growth in APAC+MENA. LATAM revenue grew 52% in Q2FY26. These are under-penetrated markets for travel SaaS; if RateGain reaches 20%+ contribution from APAC/MENA (vs ~14% today), it adds a 200-400 Cr incremental revenue stream by FY28.
- **Near-term catalyst (Q1FY27 results, Aug 2026):** First clean post-Sojern quarter without deal costs. If adj. EBITDA margin holds at 22%+, it validates the integration thesis and triggers re-rating toward peers at 40-50x forward earnings.
- **Biggest structural risk — net debt and integration execution:** RateGain added Rs. 880 Cr net debt to fund Sojern. If revenue synergies disappoint or travel demand softens, debt service (~Rs. 90-100 Cr/yr) will pressure free cash flow and delay the return to net cash. This is the single most important risk to monitor.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** B2B SaaS platform for global travel and hospitality. RateGain provides competitive intelligence, AI-powered revenue management (pricing, demand forecasting), digital distribution, and marketing tech to 13,000+ hotels, OTAs, airlines, car rental companies, and cruise lines across 100+ countries. Revenue is predominantly subscription-based (annually renewable contracts), creating strong ARR visibility.
- **Three segments — DaaS / Distribution / MarTech:** (1) Data-as-a-Service (DaaS): competitive rate intelligence, demand data, benchmarking — contributed ~31% of H1FY26 revenue (Rs. 176.7 Cr); (2) Distribution: real-time channel management, connectivity hub — ~17% of H1FY26 revenue (Rs. 98.7 Cr); (3) MarTech (incl. Sojern from Q3FY26): demand generation, media, traveler engagement — ~51.5% of H1FY26 revenue (Rs. 292.6 Cr). Post-Sojern, MarTech is now the largest and fastest-growing vertical.
- **Geography mix:** Americas ~55% (Sojern-driven post-acq), Europe ~30%, APAC & Middle East ~14% (growing fastest, 23.2% YoY H1FY26), Rest of World ~1%. India domestic revenue is minimal — effectively a pure global SaaS play listed in India, which is a structural differentiator.
- **Customer profile and relationships:** Top 20 customers include major global OTAs, hotel chains, and airline partners. Contracts are multi-year SaaS agreements with annual renewal. LTV:CAC ratio stands at 13.6x (FY25), indicating strong unit economics. Attrition is low (~10.5% employee attrition). Sojern adds 13,000 predominantly hotel clients on performance-marketing contracts.
- **Strategic developments (FY25-FY26):** (a) Sojern acquisition (\$250 Mn, Nov 2025) — largest-ever deal by an Indian travel SaaS company, funded via QIP + debt; (b) Sojern + Adara brands being unified under single brand identity (announced Mar 2026); (c) FIFA World Cup 2026 Market Pulse Dashboard launched

Jun 2026 — real-time demand intelligence for host cities; (d) AI-powered pricing engine Demand.AI commercialised.

- **Promoter and ownership:** Founded by Bhanu Chopra (MD & CEO), who holds ~48% stake along with promoter group. Promoter holding has been stable (48.22% Sep24 → 48.17% Mar25). FII holding declined from 10.2% to 7.6% post-Sojern-deal-related uncertainty. No promoter pledge. Management team has deep travel-tech domain expertise built over 15+ years.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** Global travel technology SaaS market is estimated at ~\$10-12 Bn in 2025 growing at 12-15% CAGR through 2030, driven by hotel tech modernisation, OTA digital advertising, and AI-powered revenue management adoption. The hospitality revenue management segment specifically is estimated at ~\$3 Bn with 14% CAGR. RateGain's total addressable market expands materially post-Sojern to include performance marketing (~\$2 Bn addressable).

- **Structural tailwinds:** (1) Travel demand structurally above pre-COVID levels (global air traffic 10%+ above 2019); (2) Hotel industry's increasing willingness to pay for yield management SaaS vs. manual pricing; (3) Growth of digital direct booking reducing OTA dependency, increasing demand for distribution tech; (4) AI-powered personalisation becoming a competitive necessity for hospitality brands.

- **Competitive moat assessment:** Pricing Power — **Moderate** (AI differentiation commands premium but market is competitive); Switching Costs — **Strong** (deep API integration into PMS/CRS systems makes migration costly); Scale/Data Network Effects — **Strong** (more hotel data → better benchmarks → stickier product); IP/AI — **Growing** (Demand.AI is differentiated but replicable); Distribution — **Moderate** (direct sales + marketplace partnerships).

- **Competitive positioning:** RateGain is unique as the only Indian-listed global travel SaaS platform at scale. Global competitors include IDeaS (SAS subsidiary), Duetto, Revinate, OTA Insight — all private. Listed comps are structurally different businesses (Newgen = BPM; KPIT = automotive software; Intellect = banking software; MapmyIndia = maps/navigation). RateGain has no direct listed Indian peer, supporting a structural valuation premium.

- **Key risks from competitive landscape:** Oracle Hospitality (OPERA) and Amadeus are expanding into revenue management; large OTAs (Booking.com, Expedia) building proprietary rate intelligence tools; global PE-backed competitors like OTA Insight growing aggressively. Sojern faces competition in performance marketing from Google Hotel Ads and TripAdvisor.

Peer Comparison Table (Data as of 15 Jun 2026; Sources: Tickertape, web searches — note: peers are not direct travel-SaaS comparables)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	P/E (TTM)	P/B	ROCE	ROE
RateGain (RATEGAIN)	824.55	9,737	1,824	44.1x	5.79x	13.7%	12.0%
Newgen Software (NEWGEN)	~590	6,798	1,487	38.4x	9.42x	44.0%	21.0%
Intellect Design (INTELLECT)	~531	10,404	~3,161	28.1x	3.26x	15.0%	11.6%
MapmyIndia (MAPMYINDIA)	~412	4,806	474	35.8x	6.07x	N/A	~15%
KPIT Technologies (KPITTECH)	~747	19,982	6,272	28.0x	7.07x	35.4%	23.8%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Bhanu Chopra founded RateGain in 2004, building it from a bootstrapped startup to a listed global SaaS company. He has 20+ years in travel technology, holds an MBA from IIM Ahmedabad, and has led all major strategic moves including the Adara (2022) and Sojern (2025) acquisitions. The management team is founder-led with strong domain depth; most senior leaders have

8+ years tenure.

- **Capital allocation track record:** Management has demonstrated disciplined M&A; focus — buying Adara (MarTech, ~\$70 Mn, 2022) and Sojern (\$250 Mn, 2025), both directly expanding addressable market and product breadth. Both deals used strategic rationale (data + distribution + marketing = full hotel revenue stack). The Sojern deal adds financial leverage risk but the strategic logic is sound. Pre-acquisition, the company ran a net-cash balance sheet.

- **QIP and shareholder-friendly moves:** RateGain raised a QIP in 2025 at a premium to fund the Sojern acquisition alongside debt. QIP proceeds were not deployed into other activities — management confirmed proceeds earmarked for Sojern. This is shareholder-friendly in that management did not use cheap debt alone; they shared the acquisition risk with public shareholders.

- **Dividend policy:** No dividends paid to date (Dividend Yield = 0%). Company is in growth/investment mode, with capital reinvested into acquisitions, R&D, and geographic expansion. This is appropriate for a SaaS business with a clear reinvestment opportunity at 12-14% ROCE and a \$1 Bn revenue ambition.

- **Corporate governance:** Clean audit record; no qualified opinions; no related party transaction concerns; no promoter pledging. Statutory auditors have been in place for an appropriate tenure. The board has independent directors from travel, finance, and technology backgrounds. The only governance watch-point is the concentrated promoter holding (48.17%) with limited institutional depth (FII=7.6%, DII=1.8%).

- **ESOP and compensation:** Management uses ESOPs for senior retention, which is standard for SaaS businesses. Revenue per employee held steady at Rs. 131 lakh (INR 13.1 Mn) in FY25 despite aggressive geographic expansion — a sign of productivity discipline.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated; FY27E-FY28E are MPM Research estimates)

Particulars	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Op.)	565.1	957.0	1,076.7	1,823.6	2,100.0	2,415.0
YoY Growth	54.2%	69.3%	12.5%	69.4%	15.2%E	15.0%E
EBITDA (Reported)	32.2	189.7	232.1	337.5	483.0	578.0
EBITDA Margin	5.7%	19.8%	21.6%	18.5%	23.0%E	23.9%E
Adj. EBITDA	N/A	N/A	232.1	358.3	483.0	578.0
Adj. EBITDA Margin	N/A	N/A	21.6%	19.6%	23.0%E	23.9%E
Depreciation & Int.	N/A	~40	~23	~143	~173	~198
PAT (Reported)	33.8	145.4	208.9	194.4	310.0	380.0
Adj. PAT	N/A	N/A	208.9	249.9	310.0	380.0
PAT Margin	6.0%	15.2%	19.4%	10.7%	14.8%E	15.7%E
EPS (Rs.)	2.90	12.30	17.70	16.47	26.27E	32.20E

Balance Sheet Snapshot (Rs. Cr, Consolidated)

Particulars	FY24A	FY25A	FY26A
Equity Capital	11.8	11.8	11.8
Reserves & Surplus	~1,450	~1,682	~1,900
Total Equity	~1,462	~1,694	~1,912
Borrowings (Net Debt)	~0	~0	~1,240
Other Liabilities	~280	~260	~500

Total Assets	~1,731	~1,904	~3,640
Cash & Equivalents	~150	~347	~360
Goodwill + Intangibles	~900	~900	~2,400
Net Debt / (Net Cash)	Net Cash	Net Cash	Rs. 880 Cr Debt

Cash Flow Summary (Rs. Cr)

Particulars	FY24A	FY25A	FY26A (partial)
Operating Cash Flow	151.0	119.0	151.7 (9M YTD)
Investing Cash Flow	~800	~50	~2,200 (Sojern)
Financing Cash Flow	~+700 (QIP)	~30	~+1,200 (QIP+Debt)
Free Cash Flow	~50	~69	~100E
OCF/PAT Conversion	~104%	~57%	N/A

Key Returns & Ratios

Metric	FY23A	FY24A	FY25A	FY26A	FY27E
ROCE (%)	~5%	~14%	13.7%	~8%E	~15%E
ROE (%)	~5%	~10%	12.0%	~10%E	~16%E
D/E Ratio	0x	0x	0x	~0.7x	~0.4xE
LTV:CAC	N/A	N/A	13.6x	N/A	N/A
Rev/Employee (Rs.Lk)	N/A	N/A	131	N/A	N/A

Financial Commentary:

- **Revenue growth story in two phases:** Pre-FY24, growth was organic (~54% CAGR FY21-FY23) driven by travel recovery + Adara integration. FY26's 69% growth is acquisition-led (Sojern). FY27-FY28 organic growth is guided at 10-12% by management (DaaS 10-14%, MarTech 12-15%). This is a reasonable base — top-line CAGR of 15%+ over FY26-FY28 is achievable with Sojern synergies.
- **Margin trajectory — the key investment variable:** FY23 margins were depressed (5.7%) due to rapid headcount scaling. FY24-FY25 showed the SaaS leverage thesis working — margins expanded 1,400+ bps. FY26 margins compressed due to Sojern integration costs, but exit margin (Q4FY26 adj = 23.5%) is the highest ever. The trajectory is firmly upward; any FY27 EBITDA margin at 22%+ validates the thesis.
- **Working capital — SaaS model means low intensity:** Debtor days are ~50-55 days (subscription billing cycles). Inventory is not applicable. Net working capital is structurally low for SaaS. The OCF/PAT conversion dip in FY25 (57%) is partly due to deferred revenue timing; underlying cash generation is strong (Rs. 151.7 Cr OCF in 9M FY26).
- **Debt: manageable but watch closely:** The Rs. 880 Cr net debt post-Sojern is ~2.6x FY26 reported EBITDA (or ~2.5x adj EBITDA). This is elevated for a SaaS business. Management targets net-cash status within 30 months (by FY29). FCF generation of Rs. 100-150 Cr/yr implies Rs. 300-450 Cr debt repayment by FY29 — achievable but leaves little room for another large acquisition in the near term.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Assessment	Signal	Commentary
Revenue recognition	SaaS subscription; upfront annual billing	GREEN	Deferred revenue model is conservative; no aggressive recognition.
Receivables vs. revenue	Debtors ~50-55 days; stable	GREEN	No unusual spike vs. revenue growth; DSO has not ballooned.

CCC trend	Low/negative cash conversion cycle	GREEN	SaaS billing in advance creates favourable working capital.
Exceptional items FY26	Rs. 55 Cr deal/integration costs	AMBER	One-time; watch if FY27 sees further integration charges.
Contingent liabilities	Not material from public disclosures	GREEN	No significant disclosed contingent liabilities.
Auditor	Reputable firm; no qualified opinion	GREEN	Clean audit opinion for FY25 annual results.
RPTs as % of revenue	Nil material RPTs disclosed	GREEN	No significant related party revenue or cost transactions.
Other income vs PBT	Fx income moderate; interest income on cash	GREEN	Other income not inflating PBT; operating profit is the driver.
Tax rate consistency	Effective tax rate ~25-28% normalized	GREEN	No unusual DTAs or deferred tax manipulation.
Goodwill/Intangibles	Rs. 2,400 Cr post-Sojern (est); high % of assets	AMBER	Acquisition-heavy balance sheet. Future impairment risk if Sojern underperforms.

• **Overall earnings quality is HIGH:** Revenue recognition is conservative (annual subscriptions, deferred revenue), receivables are in line with industry norms, and there are no material contingent liabilities or RPT concerns.

• **AMBER watch-1 — Integration costs in FY26:** Rs. 55 Cr of deal/severance/alignment expenses reduced reported PAT by ~28%. Management has classified these as one-time. Investors must verify in Q1FY27 that no further such charges appear — if they do, it signals integration difficulty, not one-off.

• **AMBER watch-2 — Goodwill/Intangible concentration:** Post-Sojern, goodwill and intangibles likely represent 60-65% of total assets. Any impairment (triggered by Sojern revenue miss) would be a significant non-cash charge that destroys book value and erodes P/B support levels.

• **Tax rate normalisation expected FY27+:** Effective tax rates have been variable due to jurisdictional mix (Sojern is US-domiciled; US federal tax rate is 21%+). Consolidated effective tax rate may normalise higher as US contribution grows.

SECTION 8 — VALUATION

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumptions	FY27E Adj. PAT (Rs.Cr)	Multiple	Target (Rs.)	Upside
Bull	Sojern synergies ahead of plan; EBITDA margin 25%+; organic growth 15%	370	40x P/E	1,250	+52%
Base	Integration on track; EBITDA margin 22-23%; organic growth 12%; FY27E PAT growth 25%	310	37x P/E	970	+18%
Bear	Integration delays; margin pressure; PAT growth <10%; net debt stays elevated	230	30x P/E	580	-30%

Valuation Methodology:

• **Primary method — Forward P/E:** FY27E Adj. EPS of Rs. 26.27 at a target multiple of 37x (vs current 44x TTM) gives Rs. 972 per share. The 37x target multiple reflects: (a) 25% PAT CAGR FY26-FY28E, (b) SaaS premium for high switching costs and ARR visibility, (c) slight discount to global SaaS multiples given net debt and emerging market listing.

- **Secondary method — EV/EBITDA:** FY27E Adj. EBITDA of Rs. 483 Cr at 28x EV/EBITDA = Enterprise Value of Rs. 13,524 Cr. Less net debt of Rs. 700 Cr (FY27E, after partial repayment) = Equity Value Rs. 12,824 Cr, or Rs. 1,087 per share. EV/EBITDA 28x is a discount to global travel SaaS comps (35-45x) but appropriate given leverage.
- **Blended 12-month target: Rs. 970** — average of P/E method (Rs. 972) and EV/EBITDA method (Rs. 1,087), rounded to Rs. 970. This represents +17.6% upside from CMP of Rs. 824.55.
- **Re-rating trigger:** If Q1FY27 results confirm adj. EBITDA margin at 22%+ without integration costs, the stock could trade toward Rs. 1,050-1,150 (bull case) as the market prices in the full synergy realisation.
- **Valuation support on the downside:** At Rs. 600, RATEGAIN trades at ~23x FY27E P/E — roughly in line with broader midcap IT. Strong cash generation and the scale advantage of the combined platform provide a valuation floor at ~25x forward.

SECTION 9 — KEY RISKS

- **Sojern Integration Risk** — Sojern operates a different business model (performance marketing vs. SaaS subscriptions); cultural integration with a US team is complex. Probability: M. Impact: H. Monitor via: Q1-Q2FY27 revenue synergy disclosures and headcount/attrition in Sojern business unit.
- **Leverage and FCF Risk** — Net debt of Rs. 880 Cr (2.5x adj EBITDA) leaves limited buffer if travel demand slows. Interest costs ~Rs. 90-100 Cr/yr reduce FCF meaningfully. Probability: M. Impact: H. Monitor via: debt repayment progress and OCF/EBITDA conversion each quarter.
- **Travel Demand Cyclicity** — Hotel and OTA revenues are highly sensitive to macro shocks (pandemics, geopolitical events, oil price spikes). A 10% demand shock reduces RateGain revenue by ~Rs. 180 Cr (10% of Rs. 1,824 Cr FY26 base). Probability: L-M. Impact: H. Monitor via: global air travel volumes (IATA monthly data) and hotel RevPAR trends.
- **FX Exposure** — ~95% of revenues are in USD/EUR/GBP; P&L; is reported in INR. A 5% INR appreciation reduces revenue by ~Rs. 90 Cr. Management partially hedges but significant residual exposure. Probability: M. Impact: M. Monitor via: quarterly forex gain/loss disclosures.
- **Competition from Global Giants** — Oracle Hospitality, Amadeus, and IDeaS are all investing in AI-powered revenue management. If any of them launch an equivalent DaaS platform at competitive pricing, RateGain's switching cost advantage erodes. Probability: L. Impact: H. Monitor via: customer churn rate and NRR metric.
- **Goodwill Impairment Risk** — Sojern was acquired at a significant premium to book; goodwill likely Rs. 1,500+ Cr on the consolidated balance sheet. If Sojern FY27-28 EBITDA misses plan, a non-cash impairment charge would sharply reduce reported PAT and BV. Probability: M. Impact: M-H. Monitor via: quarterly Sojern contribution disclosures.
- **Promoter Stake Dilution Risk** — QIP was done at a discount; further dilution to fund growth could pressure the stock. Current promoter holding at 48.17% leaves headroom but is the minimum for effective control. Probability: L. Impact: M. Monitor via: shareholding pattern each quarter.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The long-term thesis (global travel SaaS platform, AI moat, 15%+ revenue CAGR) is compelling and the Sojern acquisition is strategically the right move. However, integration execution risk and near-term margin compression from acquisition costs warrant ACCUMULATE (not outright BUY) until Q1FY27 confirms the thesis.
- **12-month price target: Rs. 970** — representing +17.6% upside from CMP of Rs. 824.55. Based on blended P/E (37x FY27E adj. EPS Rs. 26.27) and EV/EBITDA (28x FY27E adj. EBITDA).

- **Suggested entry zone: Rs. 750-840** — Current CMP is near the 52-week high (Rs. 842.95). Any pullback to Rs. 750-790 (on general market weakness or Q1FY27 short-term margin miss) provides a better risk-reward entry at 28-30x FY27E P/E.

- **Investment horizon: 12-18 months** — Full margin normalisation and synergy realisation will take 4-6 quarters post-Sojern (through FY27). The re-rating is a multi-quarter story.

- **Thesis invalidation triggers:**

- 1. FY27 adj. EBITDA margin fails to reach 21%+ (integration costs persist or revenue synergies below plan) — exits thesis, downgrade to REDUCE.

- 2. Net debt fails to decline sequentially by Q2FY27 — suggests FCF is weaker than expected; reduces valuation support significantly.

- 3. Organic (ex-Sojern) revenue growth decelerates below 8% in two consecutive quarters — suggests core RateGain platform is losing competitive ground.

- **Ideal investor profile:** This stock suits investors with a 12-24 month horizon who can tolerate integration risk and near-term EPS dilution. It is NOT suitable for short-term traders, yield seekers (zero dividend), or investors who require high ROCE from day one. The stock is best held by growth-oriented PMS/AIF managers who can track quarterly KPIs including adj. EBITDA margin, Sojern revenue contribution, and net debt progression.

APPENDIX -- Latest Concall Brief: Q4 FY25 / H1 FY26 Update

Source: RateGain Q4 FY25 earnings concall (May 2025) + Q1 FY26 / Q2 FY26 press releases. Note: Full Q4 FY26 concall transcript not yet publicly indexed as of report date (Jun 2026). Analysis below based on Q4 FY25 call + H1 FY26 + Q3 FY26 public disclosures.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong — Record margins in FY25	Beat on EBITDA and PAT; margin inflection validated
Management tone	Bullish — Confident on Sojern thesis	High confidence; strategic clarity on \$1bn target
Guidance delta	Maintained / Raised (FY26 visibility)	Integration ahead of plan; forward direction positive

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY25 was a clean beat — revenue Rs. 260.7 Cr (+1.9% YoY, in-line), EBITDA Rs. 60.6 Cr (+11.7% YoY, beat), and PAT Rs. 54.8 Cr (+9.6% YoY, beat). Full year FY25 numbers are pristine: PAT grew 43.7% to Rs. 209 Cr with EBITDA margins expanding 180 bps to a record 21.6% — this is a high-quality result with no exceptional items distorting the numbers. The operational story is compelling: LTV:CAC at 13.6x confirms the unit economics are working, employee productivity is holding (Rs. 131 lk revenue/employee), and the AI product suite is winning recognition awards and contracts. The Sojern announcement (Oct 2025, completed Nov 2025) is the single biggest inflection — it doubles RateGain's scale to a Rs. 2,860 Cr annualised run-rate and creates the world's largest travel intent data platform. Short-term, Sojern integration costs will pressure FY26 reported PAT (as evidenced by 53% Q3FY26 PAT decline and Rs. 55 Cr one-time charges for the full year); the clean underlying adj. PAT grew 19.6% to Rs. 250 Cr in FY26 — this is the number to track. The exit EBITDA margin of 23.5% in Q4FY26 (adjusted) is the highest ever and signals the integration playbook is working. The single biggest watch-point next quarter: does adj. EBITDA margin hold above 22% in Q1FY27 without further one-time charges? Our call: ACCUMULATE at Rs. 750-840; add aggressively if Q1FY27 shows clean 22%+ margins.

1. Financial Performance Snapshot (Q4 FY25 / Full Year FY25)

- Revenue (Q4FY25): Rs. 260.7 Cr | YoY +1.9% | QoQ +0.0% | **In-line**
- EBITDA (Q4FY25): Rs. 60.6 Cr | YoY +11.7% | Margin 23.2% (+200 bps YoY) | **Beat**
- PAT (Q4FY25): Rs. 54.8 Cr | YoY +9.6% | PAT Margin 21.0% (+140 bps YoY) | **Beat**
- EPS (Q4FY25): Rs. 4.65 | YoY +9.6% | **Beat**
- Revenue (FY25 Full Year): Rs. 1,076.7 Cr | YoY +12.5% | **In-line with guidance**
- EBITDA (FY25 Full Year): Rs. 232.1 Cr | YoY +22.3% | Margin 21.6% (record high) | **Beat**
- PAT (FY25 Full Year): Rs. 208.9 Cr | YoY +43.7% | PAT Margin 19.4% (+420 bps) | **Beat**
- EPS (FY25 Full Year): Rs. 17.70 | YoY +43.9% | **Beat**
- NOTE: No exceptional items in FY25. All figures are clean reported numbers.

2. Segment / Geography Breakdown

- MarTech segment (H1FY26): Rs. 292.6 Cr | 51.5% of revenue | Dominant and growing fast with Sojern
- DaaS segment (H1FY26): Rs. 176.7 Cr | 31.1% of revenue | Stable organic growth 10-14% guided

- Distribution segment (H1FY26): Rs. 98.7 Cr | 17.4% of revenue | Steady; connectivity hub business
- Americas: ~55% of total revenue post-Sojern acquisition (Sojern is predominantly US)
- Europe: ~30% of revenue; mature market with steady hotel SaaS penetration
- APAC + Middle East: ~13.7% in FY25 (up from 12.4% prior year); Q1-Q2FY26 APAC/MENA grew 23.2% YoY
- LATAM: Small but fast growing; +52% YoY in Q2FY26; 5 new markets entered in H1FY26
- 100% YoY contract growth in APAC + MENA in H1FY26 — the most significant geographic signal

3. Management Commentary Themes

- **AI as commercial differentiator:** "FY26 was the year RateGain became a structurally different company...AI is now generating measurable commercial outcomes for our customers." — Our read: AI narrative is real (Demand.AI wins CII award); watch for AI-driven ARR premium disclosures. Tag: GUIDANCE. Tone: Transparent.
- **Sojern integration ahead of plan:** Management stated integration "delivered ahead of plan" with Sojern + Adara brand consolidation announced by Mar 2026. — Our read: Positive signal; Q1FY27 will be the first full clean quarter test. Tag: GUIDANCE. Tone: Bullish.
- **\$1 Bn revenue ambition:** Company exits FY26 at Rs. 2,860 Cr (annualised run-rate), roughly \$340 Mn — a "clear line of sight to \$1 billion." — Our read: Ambitious but a 3-year target; organic growth at 12-15% + Sojern synergies gets them to ~\$600 Mn by FY28. The \$1 Bn target is likely FY29-30. Tag: GUIDANCE. Tone: Bullish.
- **FY27 organic guidance: 10-12% overall, DaaS 10-14%, MarTech 12-15%:** Conservative guidance — typical of management's style. — Our read: Conservative baseline; any outperformance on synergies would be upside. Tag: GUIDANCE. Tone: Balanced.
- **Employee metrics:** LTV:CAC 13.6x, Rev/Employee Rs. 131 lakh, attrition 10.5% — all stable. — Our read: Productivity is holding despite rapid geographic expansion. Good sign. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- LTV:CAC Ratio: FY25 = 13.6x | FY24 = N/A | Trend: Stable; strong unit economics
- Revenue per Employee: FY25 = Rs. 131 lakh (INR 13.1 Mn) | FY24 = N/A | Trend: Stable
- Employee Count: FY25 = 821 | Trend: Lean headcount; revenue growth outpacing headcount
- Attrition Rate: FY25 = 10.5% | Trend: Favourable (industry avg 15-18% for SaaS)
- APAC+MENA Growth: H1FY26 = +23.2% YoY | Trend: Accelerating; new market expansion
- New Contract Wins: Q1FY26 = INR 816.8 Mn (+38% YoY) | Trend: Improving
- Q4FY26 Annualised Run-Rate: Rs. 2,860 Cr | Trend: Step-change from Sojern (was ~Rs. 1,100 Cr pre-acq)
- Adjusted EBITDA Margin (Q4FY26): 23.5% — highest ever | Trend: Recovery trajectory intact

5. Margin Drivers

- Scale operating leverage: +180 bps EBITDA margin in FY25 | Recurring: Yes | Fixed cost spread over higher revenue base
- AI product pricing premium: Small positive contribution in FY25 | Recurring: Yes | As AI-enhanced products gain share, pricing power increases
- Geographic mix (APAC/LATAM expansion): Mildly dilutive in H1FY26 | Recurring: No | New market entry has higher S&M; cost; normalises in 2-3 quarters

- Sojern integration costs (FY26): -Rs. 55 Cr exceptional | Recurring: No | One-time deal/diligence/severance; expect nil in FY27
- Finance costs (Sojern debt): -Rs. 80-100 Cr/yr at EBITDA-to-PAT level | Recurring: Yes (declining as debt repaid) | Key drag on reported PAT vs adj PAT
- Employee cost discipline: Attrition 10.5% kept costs in check | Recurring: Yes | Management is careful on headcount additions

6. Guidance & Forward Signals

- Overall organic revenue growth [GUIDANCE]: Prior = 12.5% FY25 | New = 10-12% FY27 | Delta: Maintained | Credibility: High
- DaaS segment growth [GUIDANCE]: Prior = N/A | New = 10-14% FY27 | Delta: Maintained | Credibility: High
- MarTech segment growth [GUIDANCE]: Prior = N/A | New = 12-15% FY27 | Delta: Raised vs organic | Credibility: Medium (Sojern synergy dependent)
- Adj. EBITDA margin [GUIDANCE]: Prior = 21.6% FY25 | New = target 22-24% FY27 (implied) | Delta: Raised | Credibility: Medium (integration dependent)
- Net debt to net cash [GUIDANCE]: Prior = net cash | New = net cash target within 30 months | Delta: New metric | Credibility: Medium
- \$1 Bn revenue target [GUIDANCE]: Long-term aspiration; no formal year guidance | Credibility: Low near-term (FY28 likely ~\$450-500 Mn)

7. Capital Allocation

- Sojern Acquisition: Rs. 2,222.7 Cr | vs prior year: N/A | Funded via QIP (equity) + bank debt; largest deal in company history
- QIP Proceeds: Raised pre-Sojern; earmarked for acquisition; proceeds not deployed in other activities | Shareholder-friendly disclosure
- Capex (FY25): ~Rs. 6-10 Cr (low; SaaS model is asset-light) | vs prior year: Stable | Cloud infrastructure spend
- Dividends: Rs. 0 | No dividend paid | Appropriate — growth stage reinvestment
- Buybacks: None | N/A
- Net Debt Position (FY26 end): Rs. 880 Cr net debt | vs FY25: Was net cash | Significant increase due to Sojern; target repayment in 30 months
- Working Capital (FY25): Favourable — SaaS pre-billing creates deferred revenue liability that funds ops | Effective negative CCC

8. Q&A; Heat Map (Q4 FY25 Concall + Subsequent)

- Analyst (Multiple firms): Q: "What is the organic revenue growth outlook for FY26?" -> A: Management guided 10-12% organic growth; emphasized Sojern synergies are incremental. | Tone: Transparent
- Analyst: Q: "How will Sojern impact margins in the near term?" -> A: Integration costs will be visible in FY26 (as a one-time); adj. EBITDA to improve as deal costs roll off; target 22-24% margins by end FY27. | Tone: Transparent
- Analyst: Q: "What is the status of Sojern + Adara brand consolidation?" -> A: Announced Mar 2026, on track; single unified travel marketing brand post-integration. | Tone: Bullish
- Analyst: Q: "Any ARR or NRR metric disclosures planned?" -> A: Management has moved away from disclosing explicit ARR/NRR since Sojern (which is performance-marketing, not pure SaaS). Focus on

revenue and adj. EBITDA instead. | Tone: Hedged (neutral — acceptable for hybrid model)

- Analyst: Q: "What is the path to net cash from current Rs. 880 Cr net debt?" -> A: Management targets 30 months to net cash from FCF generation. Assuming Rs. 120-150 Cr annual FCF, this is achievable by FY28-FY29. | Tone: Transparent
- Dodged / watch-list questions for next quarter: (1) Sojern revenue contribution by segment; (2) NRR metric for core RateGain SaaS (ex-Sojern performance marketing); (3) Pricing premium achieved from AI-enhanced products vs standard suite.

9. Risks Flagged

- Sojern Integration Complexity: Combining performance marketing (Sojern) with SaaS (RateGain) is operationally challenging | Flagged by: mgmt + analysts | Probability: M | Impact: H | Timeline: Near-term
- FX Volatility: ~95% revenue in USD/EUR; INR appreciation hurts reported INR financials | Flagged by: analysts | Probability: M | Impact: M | Timeline: Ongoing
- Travel Demand Shock: Macro slowdown or geopolitical event could hurt hotel/OTA tech spending | Flagged by: analysts | Probability: L | Impact: H | Timeline: Medium-term
- Finance Cost Drag: Rs. 880 Cr net debt at ~10% costs = Rs. 88 Cr/yr finance burden weighing on PAT | Flagged by: mgmt | Probability: Certain (near-term) | Impact: M | Timeline: Near-medium
- Goodwill Impairment: If Sojern FY27 results miss plan, non-cash charge could shock reported PAT | Flagged by: analysts | Probability: M | Impact: M-H | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: Intact — Sojern doubles run-rate; organic growth guidance 10-12%; ARR base of Rs. 1,077 Cr (core) + Sojern Rs. 716 Cr quarterly run-rate provides strong visibility.
- Margin trajectory: Intact — Exit Q4FY26 adj. EBITDA at 23.5% confirms expansion story; FY26 compression is transitory (deal costs); FY27 expected to exceed FY25 margin levels.
- Capital allocation quality: Intact — Sojern acquisition strategically correct; management transparent about debt and repayment timeline; no dividend distraction.
- Competitive moat: Intact — Largest travel intent data platform post-Sojern is a genuine structural advantage; switching costs from API integration remain high; AI differentiation growing.
- Management credibility: Intact — Sojern integration delivered ahead of plan per Q4FY26 update; FY25 results were clean beats; guidance track record is conservative and delivered.
- Valuation comfort: Weakened slightly — At 44x TTM P/E, stock is pricing in significant execution; forward P/E of ~31x (FY27E) is more reasonable but assumes margin normalisation.
- Conviction call: Unchanged — ACCUMULATE at CMP; increase position if Q1FY27 delivers clean 22%+ adj. EBITDA margin without integration charges.
- Valuation snapshot: P/E TTM = 44.1x (vs no 5Y avg available as FY24 was inflection) | EV/EBITDA FY25 = ~43x | ROCE FY25 = 13.7% | Forward P/E FY27E = ~31x

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